

Meridian Enterprise Disclosure (Pty) Ltd

Registration number 2020/160016/07

Trading as Meridian Enterprise

Annual Financial Statements

FOR THE YEAR ENDED 31 MARCH 2026

Prepared in accordance with IFRS for SMEs

Figures are stated in South African Rand

AdminLess Fin

Enterprise Accounts Production

28 September 2026

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Directors' Responsibilities and Approval

The directors are required by the Companies Act of South Africa to maintain adequate accounting records and are responsible for the content and integrity of the annual financial statements of Meridian Enterprise Disclosure (Pty) Ltd and related financial information included in this report. It is their responsibility to ensure that the annual financial statements fairly present the state of affairs of the company as at the end of the financial year and the results of its operations and cash flows for the period then ended, in conformity with IFRS for SMEs.

The directors acknowledge that they are ultimately responsible for the system of internal financial control established by the company and place considerable importance on maintaining a strong control environment. To enable the directors to meet these responsibilities, the board sets standards for internal control aimed at reducing the risk of error or loss in a cost-effective manner.

The directors are of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss.

The directors have reviewed the company's cash flow forecast for the year ahead and, in light of this review and the current financial position, they are satisfied that the company has access to adequate resources to continue in operational existence for the foreseeable future.

The annual financial statements set out on the pages that follow, which have been prepared on the going concern basis, were approved by the board of directors and are signed on its behalf by the directors whose signatures appear in the approval section of this report.

Directors' Report

The directors have pleasure in submitting their report on the annual financial statements of Meridian Enterprise Disclosure (Pty) Ltd for the year ended 31 March 2026.

1. Nature of business

The company is engaged in Industrial components distribution.

2. Review of financial results and activities

The financial results and position of the company are fully set out in the annual financial statements and require no further comment. The directors consider that the statements fairly present the financial affairs of the company.

3. Going concern

The directors believe that the company has adequate financial resources to continue in operation for the foreseeable future and accordingly the annual financial statements have been prepared on a going concern basis. The directors have satisfied themselves that the company is in a sound financial position and that it has access to sufficient borrowing facilities to meet its foreseeable cash requirements.

4. Events after the reporting period

The directors are not aware of any material event which occurred after the reporting date and up to the date of this report that would require adjustment to, or disclosure in, the annual financial statements, other than those disclosed in the notes.

5. Directors

The directors in office at the date of this report are A. Director and C. Director.

6. Company secretary

The company secretary is B. Secretary, and the registered office of the company is 2 Disclosure Way, Sandton, 2196.

7. Auditors

The company's auditors are Independent Audit Partners.

Independent Auditor's Report

To the shareholders of Meridian Enterprise Disclosure (Pty) Ltd

The independent auditors of the company are Independent Audit Partners. Their report on these annual financial statements is addressed to the shareholders and will be issued upon completion of the audit engagement.

Pending receipt of the signed auditor's report, this page is reserved for the independent auditor's report expressing an opinion on whether the annual financial statements present fairly, in all material respects, the financial position of the company as at the reporting date and its financial performance and cash flows for the year then ended, in accordance with the applicable financial reporting framework and the requirements of the Companies Act of South Africa.

Corporate Information

Entity Identity

Registered name	Meridian Enterprise Disclosure (Pty) Ltd
Registration number	2020/160016/07
Trading name	Meridian Enterprise
Nature of business	Industrial components distribution.
Reporting framework	IFRS for SMEs

Addresses

Registered office	2 Disclosure Way, Sandton, 2196
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Governance

Company secretary	B. Secretary
Auditor	Independent Audit Partners
Authorised representative	B. Secretary

Directors

Directors	A. Director C. Director
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Engagement Information

Reporting period	FY2026
Comparative period	Year ended 31 March 2025
Reporting currency	ZAR
Functional currency	ZAR
Level of assurance	Independent Audit

Statement of Financial Position

As at 31 March 2026

Figures are stated in South African Rand

	Notes	2026 R	2025 R
Property, plant and equipment	5	8 500 000,00	7 200 000,00
Inventories	6	2 100 000,00	1 800 000,00
Trade and other receivables	7	1 650 000,00	1 400 000,00
Cash and cash equivalents	16	980 000,00	750 000,00
Total assets		13 230 000,00	
Share capital	14	1 000 000,00	
Retained earnings	14	8 230 000,00	
Trade and other payables	8	1 900 000,00	
Borrowings	9	2 100 000,00	
Total equity and liabilities		13 230 000,00	

Statement of Profit or Loss and Other Comprehensive Income

For the year ended 31 March 2026

Figures are stated in South African Rand

	Notes	2026 R	2025 R
Revenue	4	18 500 000,00	
Expenses		14 200 000,00	
Finance costs	9	420 000,00	
Tax expense	11	972 500,00	
Profit before tax		3 880 000,00	

Statement of Changes in Equity

For the year ended 31 March 2026

Figures are stated in South African Rand

	Notes	2026 R	2025 R
Opening equity		6 322 500,00	
Profit for the period		2 907 500,00	
Closing equity		<u>9 230 000,00</u>	

Statement of Cash Flows

For the year ended 31 March 2026

Figures are stated in South African Rand

	Notes	2026 R	2025 R
Net cash from operating activities	16	3 100 000,00	
Net cash from investing activities	16	(1 200 000,00)	
Net cash from financing activities	16	(650 000,00)	

Significant Accounting Policies

The following accounting policies are consistent with IFRS for SMEs and have been applied in preparing these annual financial statements.

Basis of preparation

These annual financial statements have been prepared in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities (IFRS for SMEs) issued by the International Accounting Standards Board. They are presented in the functional currency of the entity and have been prepared on the going concern and accrual bases under the historical cost convention, except where the IFRS for SMEs requires or permits another measurement basis. Assets and liabilities are presented as current or non-current. Comparative information is presented for the preceding period unless the IFRS for SMEs permits otherwise.

Revenue

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership have been transferred to the buyer, the entity retains neither continuing managerial involvement nor effective control, the amount of revenue can be measured reliably, it is probable that the economic benefits will flow to the entity, and the costs incurred or to be incurred can be measured reliably. Revenue from the rendering of services is recognised by reference to the stage of completion of the transaction at the reporting date when the outcome can be estimated reliably. Interest is recognised using the effective interest method; royalties on an accrual basis; and dividends when the shareholder's right to receive payment is established. Revenue is measured at the fair value of the consideration received or receivable, net of value added tax, trade discounts and volume rebates. Judgement is applied in determining the stage of completion of service transactions and whether the risks and rewards of ownership have transferred.

Property, plant and equipment

An item of property, plant and equipment is recognised as an asset when it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably. Items are measured initially at cost, comprising the purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. After initial recognition, property, plant and equipment is measured at cost less accumulated depreciation and accumulated impairment losses. Depreciation is charged so as to allocate the cost of assets less residual values over their estimated useful lives, using the straight-line method unless another method better reflects the pattern of consumption of economic benefits. An item is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss is included in profit or loss. Useful lives, residual values and depreciation methods are reviewed when events or changes in circumstances indicate that they may have changed, and any change is accounted for as a change in accounting estimate.

Intangible assets other than goodwill

An intangible asset is recognised when it is identifiable, the entity controls it, it is probable that future economic benefits will flow to the entity, and its cost can be measured reliably. Internally generated brands, logos, publishing titles, customer lists and items similar in substance are not recognised as intangible assets. Research expenditure is recognised as an expense when incurred. Development expenditure is capitalised only when the recognition criteria in Section 18 are met. Intangible assets are measured initially at cost. Intangible assets are subsequently carried at cost less accumulated amortisation and impairment losses and are amortised on a systematic basis over their useful lives. If the useful life cannot be established reliably, the life is presumed not to exceed ten years.

Investment property

Investment property is property (land or a building, or part of a building, or both) held by the owner or by the lessee under a finance lease to earn rentals or for capital appreciation, or both, rather than for use in the production or supply of goods or services or for administrative purposes, or for sale in the ordinary course of business. Investment property is measured initially at cost. Investment property whose fair value can be measured reliably without undue cost or effort is measured at fair value at each reporting date, with changes in fair value recognised in profit or loss. All other investment property is accounted for as property, plant and equipment using the cost-depreciation-impairment model in Section 17.

Leases

Leases are classified as finance leases or operating leases. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership. All other leases are classified as operating leases. At the commencement of the lease term, a lessee recognises finance leases as assets and liabilities at amounts equal to the fair value of the leased property or, if lower, the present value of the minimum lease payments. Operating lease payments are recognised as an expense on a straight-line basis over the lease term unless another systematic basis is more representative of the time pattern of the user's benefit. Finance lease assets are depreciated over the shorter of the lease term and the useful life of the asset, unless there is reasonable certainty that the lessee will obtain ownership. Minimum lease payments are apportioned between the finance charge and the reduction of the outstanding liability.

Financial instruments

The entity recognises a financial asset or a financial liability only when it becomes a party to the contractual provisions of the instrument. Basic financial instruments within the scope of Section 11 are accounted for under that section. Other financial instruments and transactions are accounted for under Section 12. Basic financial instruments are measured initially at the transaction price, including transaction costs, except where the arrangement constitutes a financing transaction, in which case they are measured at the present value of future payments discounted at a market rate of interest for a similar debt instrument. At the end of each reporting period, basic debt instruments are measured at amortised cost using the effective interest method, less impairment. Commitments to receive or make a loan that cannot be settled net in cash are measured at cost less impairment. Investments in non-convertible preference shares and non-puttable ordinary shares are measured at fair value if fair value can be measured reliably, otherwise at cost less impairment. Other financial instruments within Section 12 are measured at fair value through profit or loss, except for equity instruments without a quoted price whose fair value cannot be measured reliably, which are measured at cost less impairment. A financial asset is derecognised when the contractual rights to the cash flows expire or are settled, or substantially all risks and rewards of ownership are transferred. A financial liability is derecognised only when it is extinguished.

Impairment of assets

At each reporting date the entity assesses whether there is any indication that an asset may be impaired. If any such indication exists, the recoverable amount of the asset is estimated. Goodwill and intangible assets with an indefinite useful life, or not yet available for use, are tested for impairment when there is an indication of impairment. An impairment loss is recognised immediately in profit or loss when the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the higher of fair value less costs to sell and value in use. Impairment losses on goodwill are not reversed. For other assets, an impairment loss is reversed if the reasons for the impairment have ceased to apply, limited to what the carrying amount would have been had no impairment been recognised.

Inventories

Inventories are measured initially at cost, comprising all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. Inventories are subsequently measured at the lower of cost and estimated selling price less costs to complete and sell. Cost is assigned using the first-in, first-out or weighted-average cost formula. The same cost formula is used for all inventories having a similar nature and use.

Provisions and contingencies

A provision is recognised when the entity has an obligation at the reporting date as a result of a past event, it is probable that the entity will be required to transfer economic benefits in settlement, and the amount of the obligation can be estimated reliably. Contingent liabilities are not recognised as liabilities. Contingent assets are not recognised as assets. Provisions are measured at the best estimate of the amount required to settle the obligation at the reporting date, discounted where the effect of the time value of money is material.

Employee benefits

The cost of short-term employee benefits is recognised as an expense in the period in which the employee renders the related service, unless another section requires or permits inclusion in the cost of an asset. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans and for accumulating compensated absences when the employees render service that increases their entitlement. Contributions to defined contribution plans are recognised as an expense as the employee renders service. For defined benefit plans, the entity uses the projected unit credit method to measure its defined benefit obligation and the related expense, unless undue cost or effort would be involved, in which case the entity is permitted to simplify measurement in accordance with Section 28. Other long-term employee benefits and termination benefits are recognised and measured in accordance with Section 28.

Income tax

Current tax is the amount of income tax payable or recoverable in respect of the taxable profit or tax loss for the current or prior periods, measured using tax rates and laws that have been enacted or substantively enacted by the reporting date. Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities and their tax bases, and unused tax losses and tax credits, using the tax rates expected to apply when the temporary difference reverses. A deferred tax asset is recognised only to the extent that it is probable that taxable profit will be available against which the deductible temporary difference, unused tax losses or unused tax credits can be utilised. Deferred tax is not discounted.

Foreign currency translation

A foreign currency transaction is recorded, on initial recognition in the functional currency, by applying the spot exchange rate at the date of the transaction. At the end of each reporting period, foreign currency monetary items are translated using the closing rate. Non-monetary items measured at historical cost in a foreign currency are not retranslated. Exchange differences are recognised in profit or loss in the period in which they arise, except as otherwise required by the IFRS for SMEs.

Borrowing costs

All borrowing costs are recognised as an expense in profit or loss in the period in which they are incurred.

Government grants

A government grant is recognised when there is reasonable assurance that the entity will comply with the conditions attaching to it and that the grant will be received. Grants are recognised in income on a systematic basis over the periods in which the entity recognises the related costs for which the grant is intended to compensate. A grant that becomes receivable as compensation for expenses or losses already incurred, or for the purpose of giving immediate financial support with no future related costs, is recognised in income in the period in which it becomes receivable. Government grants related to assets are recognised either as deferred income or by deducting the grant in arriving at the carrying amount of the asset, consistently with the chosen presentation policy.

Investments in associates

An associate is an entity, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the associate but is not control or joint control. In the investor's consolidated financial statements, investments in associates are accounted for using the equity method, unless the investment is measured at fair value through profit or loss or the investor is exempt from preparing consolidated financial statements. In an investor's separate financial statements, investments in associates are accounted for at cost less impairment, at fair value through profit or loss, or using the equity method.

Investments in joint ventures

A joint venture is a contractual arrangement whereby two or more parties undertake an economic activity that is subject to joint control. Joint control is the contractually agreed sharing of control over an economic activity and exists only when the strategic financial and operating decisions require the unanimous consent of the parties sharing control. Jointly controlled entities are accounted for using the equity method in consolidated financial statements, unless measured at fair value through profit or loss. Interests in jointly controlled operations and jointly controlled assets are recognised by including the entity's share of assets, liabilities, income and expenses.

Business combinations and goodwill

All business combinations are accounted for by applying the purchase method. Goodwill acquired in a business combination is recognised as an asset from the acquisition date and represents the future economic benefits arising from assets that are not capable of being individually identified and separately recognised. After initial recognition, the acquirer measures goodwill acquired in a business combination at cost less accumulated amortisation and accumulated impairment losses. Goodwill is considered to have a finite useful life and is amortised on a systematic basis over its useful life. If a reliable estimate of the useful life cannot be made, the life is presumed not to exceed ten years. Goodwill is tested for impairment in accordance with Section 27 when there is an indication of impairment.

Share-based payment

Equity-settled share-based payment transactions with employees are measured at the fair value of the equity instruments granted at grant date. The fair value is recognised as an expense with a corresponding increase in equity over the vesting period. Cash-settled share-based payment transactions are measured at the fair value of the liability, remeasured at each reporting date and at the date of settlement, with changes recognised in profit or loss.

Hyperinflation

If the functional currency is the currency of a hyperinflationary economy, the financial statements are stated in terms of the measuring unit current at the end of the reporting period in accordance with Section 31. Comparative amounts are also restated. The gain or loss on the net monetary position is included in profit or loss.

Consolidated and separate financial statements

A parent presents consolidated financial statements in which it consolidates its investments in subsidiaries, unless it is exempt under Section 9. Control is the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. Intragroup balances and transactions are eliminated in full. In separate financial statements, investments in subsidiaries, associates and jointly controlled entities are accounted for at cost less impairment, at fair value through profit or loss, or using the equity method.

Liabilities and equity

Equity is the residual interest in the assets of the entity after deducting all its liabilities. An instrument is classified as a liability or as equity in accordance with the substance of the contractual arrangement. Members' shares in co-operative entities and similar instruments are classified in accordance with Section 22. Treasury shares are presented as a deduction from equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of an entity's own equity instruments.

Notes to the Financial Statements

Note 1. General information

These annual financial statements are the financial statements of the entity for the reporting period presented. The entity is incorporated and domiciled in its country of registration, and its principal activities are those disclosed in the directors' report or equivalent. The financial statements were authorised for issue by those charged with governance on the date stated on the approval page.

Note 2. Basis of preparation

The annual financial statements have been prepared in accordance with the IFRS for SMEs and in the manner required by the applicable companies legislation in the jurisdiction of incorporation. They are presented in the functional and presentation currency of the entity.

The financial statements have been prepared on the historical cost basis, except for financial instruments and other items measured at fair value where required or elected under the IFRS for SMEs, and on the going concern and accrual bases of accounting.

Note 3. Significant judgements and sources of estimation uncertainty

In applying the entity's accounting policies, management makes judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors considered relevant. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period of the revision and future periods affected. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements, include the useful lives and residual values of property, plant and equipment and intangible assets, impairment assessments, the measurement of provisions, the recoverability of deferred tax assets, and the impairment of financial assets measured at amortised cost.

Note 4. Revenue

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the entity's activities, net of value added tax, rebates and discounts. The analysis of revenue for the period is set out below.

Note 5. Property, plant and equipment

Property, plant and equipment is carried at cost less accumulated depreciation and accumulated impairment losses. Depreciation is recognised so as to write off the cost of assets less residual values over their useful lives on a straight-line basis.

The reconciliation of the carrying amount at the beginning and end of the period, and the depreciation charge for the year, are set out below. Useful lives applied during the period are consistent with those disclosed in the accounting policies, unless a change in estimate has been made.

Property, plant and equipment

Description	2026	2025
Carrying amount at the end of the year	8 500 000,00	7 200 000,00

Note 6. Inventories

Inventories are stated at the lower of cost and estimated selling price less costs to complete and sell. The carrying amounts by category and any write-down recognised as an expense are set out below.

Inventories

Description	2026	2025
Total inventories	2 100 000,00	1 800 000,00

Note 7. Trade and other receivables

Trade and other receivables are basic financial assets measured at amortised cost less any impairment. The analysis of receivables is set out below.

Trade and other receivables

Description	2026	2025
Total trade and other receivables	1 650 000,00	1 400 000,00

Note 8. Trade and other payables

Trade and other payables are basic financial liabilities measured at amortised cost. The analysis by class is set out below.

Note 9. Borrowings

Borrowings are basic financial liabilities measured at amortised cost using the effective interest method. The analysis of borrowings, including the current and non-current portions, is set out below. Where there has been a breach of loan covenants that has not been remedied at the reporting date, the particulars of the breach are disclosed.

Note 10. Financial instruments

Financial instruments are classified as basic financial instruments within Section 11 or as other financial instruments within Section 12. Basic debt instruments are measured at amortised cost using the effective interest method, less impairment. Other financial instruments are measured at fair value through profit or loss, except where Section 12 requires or permits cost less impairment.

The carrying amounts of financial assets and financial liabilities by category are set out below.

Categories of financial instruments

Description	2026	2025
Trade and other receivables	1 650 000,00	1 400 000,00
Cash and cash equivalents	980 000,00	750 000,00

Note 11. Income tax

The income tax expense comprises current and deferred tax. A reconciliation between the tax expense and the product of accounting profit multiplied by the applicable tax rate is set out below, together with an explanation of changes in the applicable rate where relevant.

Note 12. Borrowing costs

All borrowing costs are recognised as an expense in profit or loss in the period in which they are incurred. The amount of borrowing costs recognised as an expense during the period is disclosed with finance costs in profit or loss.

Note 13. Related party disclosures

Related party relationships exist between the entity and its parent, subsidiaries, associates, joint ventures, key management personnel and close members of their families, and entities controlled, jointly controlled or significantly influenced by them. Transactions with related parties are entered into in the ordinary course of business.

The nature of related party relationships, information about transactions and outstanding balances, and key management personnel compensation, are set out below.

Note 14. Share capital and equity

The authorised and issued share capital of the entity, including any shares issued or redeemed during the period and rights, preferences and restrictions, are set out below. For entities without share capital, information equivalent to that required for share capital is presented for each category of equity.

Note 15. Events after the end of the reporting period

Events after the end of the reporting period are those events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue. Adjusting events are reflected in the amounts recognised. Material non-adjusting events are disclosed, including the nature of the event and an estimate of its financial effect, or a statement that such an estimate cannot be made. Those charged with governance are not aware of any material non-adjusting events requiring disclosure, other than as set out in this note if applicable.

Note 16. Notes to the statement of cash flows

Cash and cash equivalents comprise cash on hand and demand deposits, and other short-term highly liquid investments readily convertible to known amounts of cash. The reconciliation of profit or loss to cash generated from operations, and the major classes of cash flows, are set out below.

Supplementary Information

The schedules set out in this section do not form part of the audited annual financial statements and are presented as supplementary information for the use of the directors and management.

Where prepared, the detailed income statement and the taxation computation of the company are presented in this section. These schedules are unaudited and are provided to support the analysis of the results disclosed in the primary statements.

Approval of Annual Financial Statements

The annual financial statements were approved by the board of directors and are signed on its behalf by:

Prepared By

[Signature]

[Name]

[Position]

[Date]

Reviewed By

[Signature]

[Name]

[Position]

[Date]

Approved By

[Signature]

[Name]

[Position]

[Date]

Authorised Representative

[Signature]

B. Secretary

Company Secretary

[Date]